developed markets to emerging countries and from small-cap stocks to global giants. Unfortunately, excess return from international investing is not without risk. Foreign stocks are subject to currency risk, political risk, trading and custody risk, and regulatory risk, among others. An understanding of these risks is important during difficult market conditions.

The MSCI EAFE Index is a widely used benchmark for international investors. While the index is a convenient single measure by which to judge the level of all developed-market large-cap stocks, the shifting market weight of countries within the index does not make for a good investment. The problem is that there is no rebalancing in the index. Consequently, the weight of the index swings considerably among the geographic regions of the world.

Developed markets can be divided into two regions: Europe and the Pacific Rim. While buying an EAFE Index fund is a convenient way to invest in developed markets, the shifting allocation between Europe and the Pacific Rim is not the most desirable approach to asset allocation. Dividing developed markets into an equal portfolio of Europe and Pacific Rim and rebalancing annually is a better alternative than allowing your portfolio allocation to swing between the two regions.

Emerging markets have evolving economies, and that spells opportunity. However, those opportunities are not without added risk. Emerging markets are more volatile than developed markets, and there is the added risk of political uncertainty. As a result, a well-diversified emerging market fund is recommended.

Over the long term, international small-cap and value stocks have delivered higher returns than international large-cap and growth stocks. Adding a small-cap international fund and a value fund to your international portfolio may increase the return over time. Unfortunately, there is one disadvantage to this strategy: There is a genuine lack of available low-cost mutual funds that focus on small-cap international stocks.

NOTE

[1]For a summary of research on size and style premiums in international stocks, see Elroy Dimson, Paul Marsh, and Mike Staunton, *Triumph*